

Unit 3 – Section 5: Assessing Competitiveness

One-Page Student Summary Sheet

Key Concepts and Definitions

Concept / Ratio	Definition / Formula	Real-World Example
Gross Profit Margin	$(\text{Gross Profit} \div \text{Sales Revenue}) \times 100$	Greggs maintains a 64% gross profit margin through cost control and product efficiency.
Net Profit Margin	$(\text{Net Profit} \div \text{Sales Revenue}) \times 100$	Apple's net profit margin is consistently high due to brand strength and premium pricing.
ROCE (Return on Capital Employed)	$(\text{Operating Profit} \div \text{Capital Employed}) \times 100$	Tesco tracks ROCE to evaluate investment efficiency across UK stores.
Current Ratio	$\text{Current Assets} \div \text{Current Liabilities}$	Emirates uses liquidity ratios to manage cash flow across multiple hubs.
Acid Test Ratio	$(\text{Current Assets} - \text{Inventory}) \div \text{Current Liabilities}$	Retailers like Zara monitor the acid test to ensure short-term solvency.
Gearing	$(\text{Non-current Liabilities} \div \text{Capital Employed}) \times 100$	BA monitors gearing closely due to reliance on aircraft loans.
Labour Productivity	$\text{Output per Worker} = \text{Total Output} \div \text{Number of Employees}$	Greggs tracks productivity per store to assess workforce efficiency.
Labour Turnover	$(\text{Number of Staff Leaving} \div \text{Average Number Employed}) \times 100$	High turnover at Amazon warehouses increases training costs.
Absenteeism Rate	$(\text{Total Days Lost} \div \text{Total$	McDonald's tracks

Working Days) $\times$ 100

absenteeism to manage
staffing and scheduling.

Command Words & AO Focus

Mark	Command Words	AO Skills	Tips for Students
4 marks	Define / Calculate / Explain	AO1 + AO2	Show formula + apply with real numbers.
8 marks	Assess	AO2 + AO3	Include two well-developed arguments with context.
12 marks	Discuss	AO3 + AO4	Balance both sides with clear judgement.
20 marks	Evaluate	AO1–4 (all)	Link financial + HR data; use time frame and stakeholder analysis.

High-Frequency Question Themes

- Ratio analysis and interpretation (profitability, liquidity, efficiency, gearing).
- Comparing financial vs non-financial performance data.
- Use of HR data in assessing productivity and efficiency.
- Evaluation of short-term vs long-term performance measures.
- Integration of financial data with strategic decision-making.

Revision Checklist

- ✓ Can I calculate and interpret key ratios accurately?
- ✓ Can I explain the link between liquidity and solvency?
- ✓ Can I evaluate both financial and non-financial performance measures?
- ✓ Can I apply ratio results to real business examples (Tesco, Greggs, Apple)?
- ✓ Can I structure a balanced 12–20 mark answer using AO1–AO4 effectively?